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Indian Institute of Management Raipur

From Speed to Stability: A Defensible Sustainability Strategy for MCPL

TEAM OPTHINKERS





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Strategic Commitment | Trade-offs & Metric Impact | Risk & Failure Discipline | Governance & KPIs

SITUATION

- Institutional Risk
- ESG Financing Pressure
- Supplier Compliance Risk
- Cost Voltaliity

ROOT CAUSE

Fragmented supplier base

↓

Minimal Sustainability Tracking

↓

Governance Weakness

RECOMMENDED STRATEGY



Option 1
Green Procurement & Supplier Consolidation

Problems with other strategies

✕ Option 2

Logistics Reconfiguration
- High capex and execution risk
- Limited impact on supplier risk and

Scope-3
- Service disruption risk due to time-sensitive demand

✕ Option 3

Circular Packaging
- Margin pressure and uncertain adoption
- Weak impact on compliance and

Lost clients
- Focuses on branding, not only structural resilience

Stakeholder Worse-Off

➤ Procurement Faces the Impact

Suppiler Base Reduction (25%)
Fewer vendors → Higher concentation pressure

ESG Mandate Enfrocement
Audits, reporting templates, compliance tracking

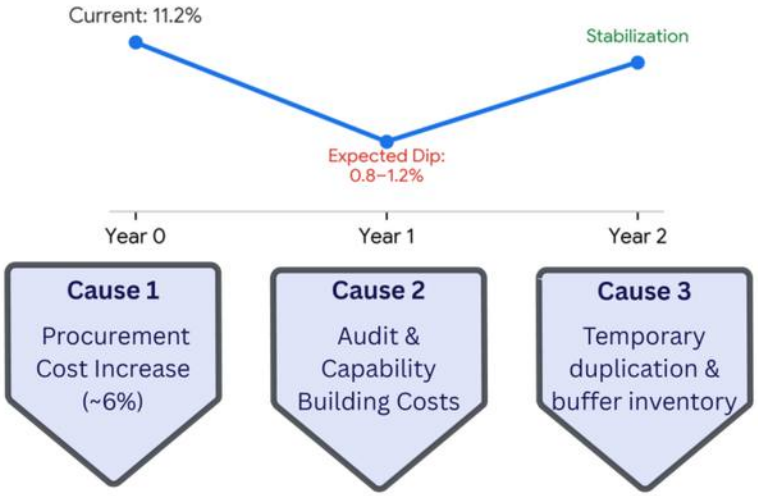
Suppiler Resistance & Negotation
Pushback on cost & disclosre requirements

Transition Risk Management
Dual sourcing, capacity checks, disruption control

Fragmentation created opacity. Consolidation creates accountability.

Potential Metric Deterioration

➤ EBITDA Margin Compression (First 12 Months)



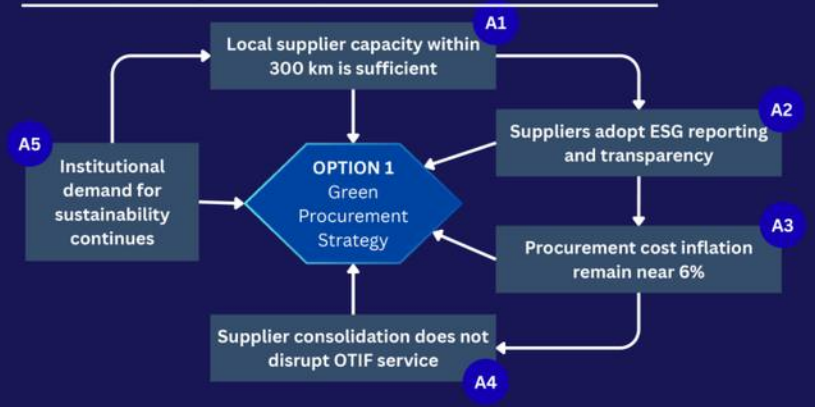
Why is this dip acceptable

- ✓ Within ≤1.5% constraint
- ✓ Prevents ESG-driven revenue loss
- ✓ Reduces catastrophic supplier risk
- ✓ Builds long-term pricing power credibility

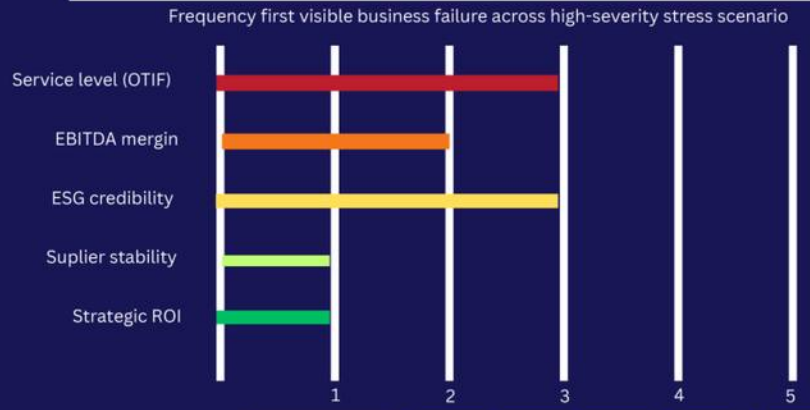
We accept margin compression to prevent structural erosion.

Assumption Stress Test - Option 1 (Green Procurement & Supplier Consolidation

Assumption System Map



First Point of Failure in High-Severity Stress Scenario



The heat map identifies high severity two-assumption failures while the bar chart aggregates the first visible business breakdown across these scenarios



Insight Box

Service stability and cost control dominate the most severe risk scenario, reinforcing operational continuity as the primary control priority.

Strategic Commitment | Trade-offs & Metric Impact | Risk & Failure Discipline | Governance & KPIs

Key Success KPIs

- Scope 3 Emission Visibility
- % Spend with ESG-Compliant Suppliers
- Supplier Base Reduction (% complete vs plan)
- On-Time-In-Full (OTIF) Service Level
- EBITDA Margin Impact

Governance

Supplier Transformation Levers

- **Goal**: Build a resilient, ESG-compliant and geographically localized supplier base to improve Scope-3 visibility.

Impact

- Greater Scope-3 transparency and auditability
- Reduced supplier fragmentation
- Improved compliance and reduced regulatory exposure
- Stronger long-term supplier partnerships
- Structural emission reduction
- Better credibility with clients

Operational Stabilisation

- **Goal:** Ensure service continuity and protect distributor trust during supplier consolidation and transition.

Impact

- Stable OTIF and reduced risk of stockouts
- Lower transition volatility and disruption
- Improved distributor confidence and retention
- Faster response to supply shocks
- Sustained market share in Tier-2 and Tier-3 regions

Financial Discipline

- **Goal:** Maintain EBITDA guardrails while funding sustainability transformation through efficiency and pricing discipline.

Impact

- Controlled margin compression within board tolerance
- Improved cost visibility and procurement leverage
- Working capital efficiency
- Cash flow stability
- Long-term value creation and investor confidence
- Balanced Profitability

FEASIBILITY CHECK

Market	Operational	Sustainability	Financial	Legal
★★★ ★☆	★★★ ☆☆	★★★ ★★	★★★ ☆☆	★★★ ★☆

RICE PRIORITIZATION

$$\text{RICE SCORE} = \frac{\text{Reach} * \text{Impact} * \text{Confidence}}{\text{Effort}}$$

Features	Reach	Impact	Confidence	Effort	Score
Supplier ESG Mapping & Data Visibility	5	5	4	2	$= \frac{5*5*2}{2} = 50$
Supplier Segmentation & Consolidation	4	5	4	3	$= \frac{4*5*4}{3} = 26.7$
Local Supplier Development	3	4	3	4	$= \frac{3*3*4}{4} = 9$
ESG Contracting & Incentives	3	3	3	3	$= \frac{3*3*3}{3} = 9$

Based on the **RICE** framework, **MCPL** should prioritise supplier **ESG visibility and consolidation** first, followed by **local supplier development and contract-based ESG alignment.**

Failure Monitoring Metrics (12–18 Months)

Scope-3 Visibility & Reduction

- % Scope-3 emissions verified vs estimated
- Total Scope-3 reduction vs baseline
- Tier-2 supplier reporting compliance rate
- Audit completion vs roadmap

Supplier Stability & Execution

- Supplier consolidation progress vs plan
- Capacity utilisation of new suppliers
- Supplier defect and disruption rate
- Lead-time variability vs baseline

Service & Market Impact

- OTIF service level
- Stockout frequency at distributor level
- Fill rate for high-priority SKUs
- Customer service complaints

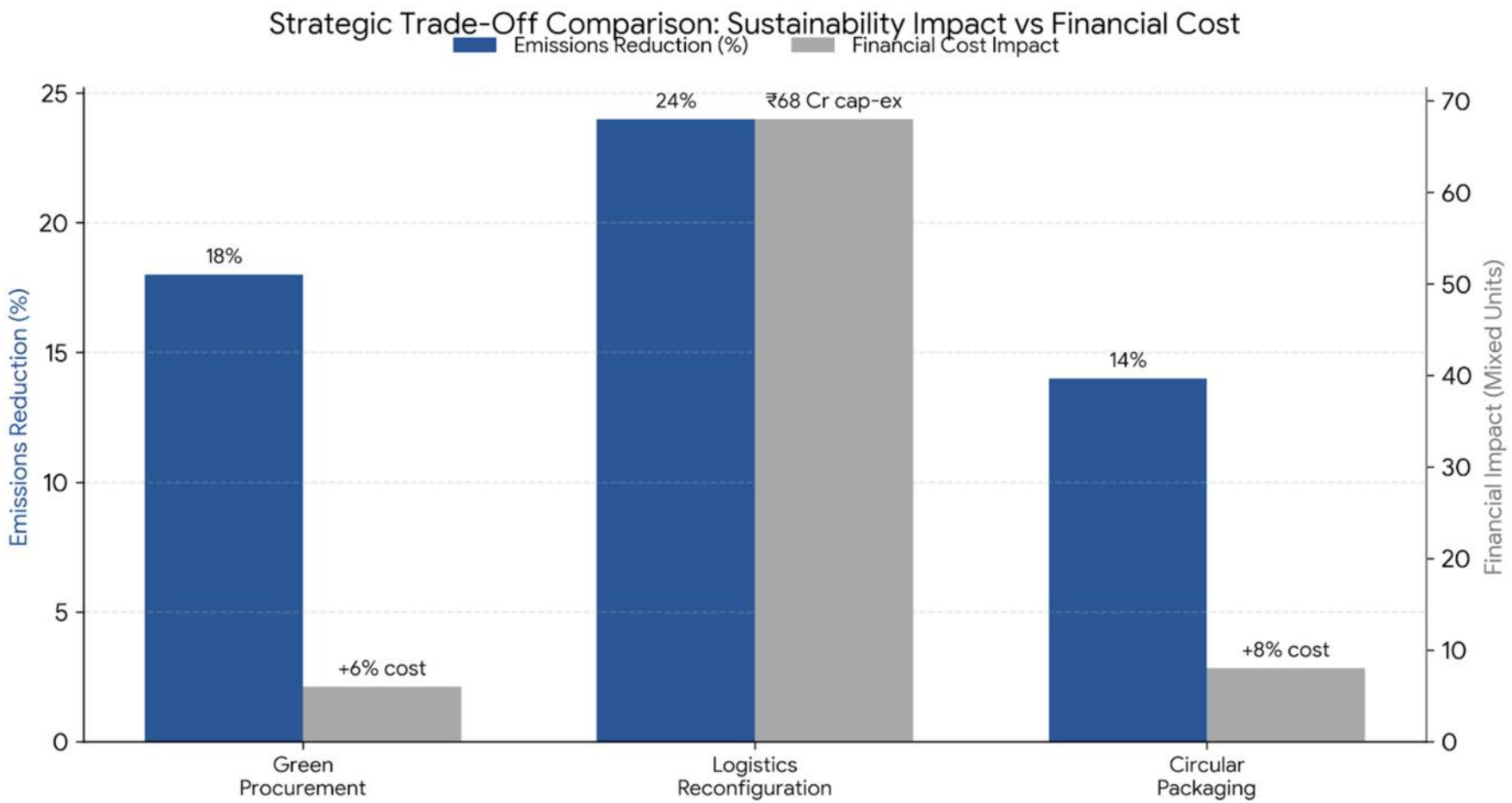
Financial & Risk Guardrails

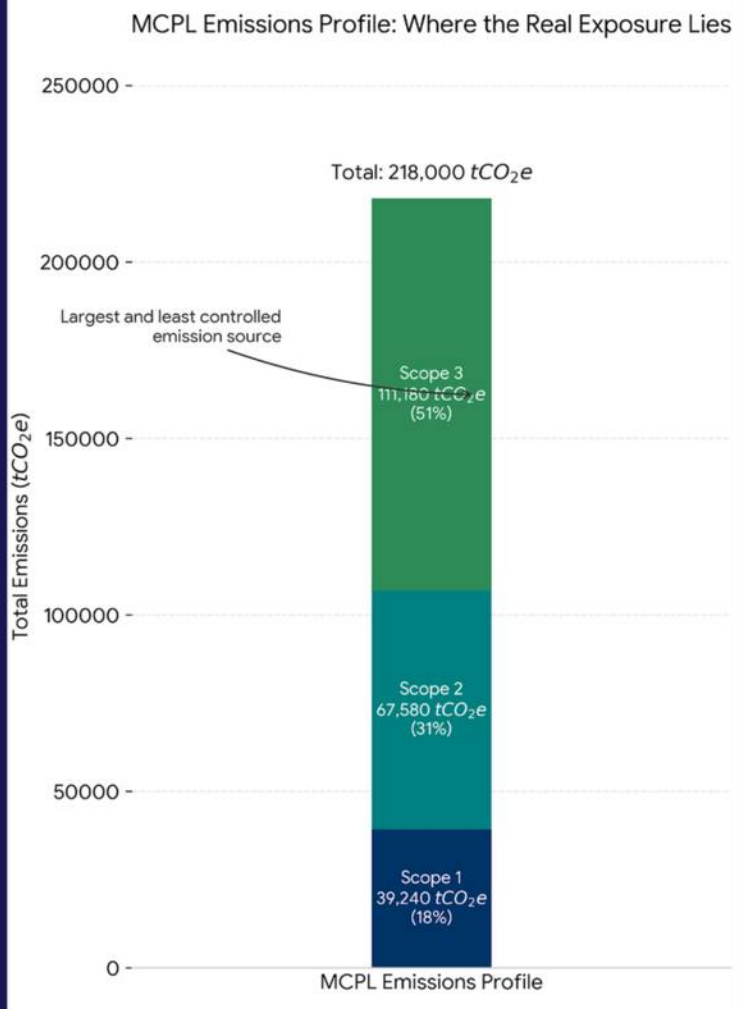
- Procurement cost inflation vs plan
- EBITDA impact vs threshold
- Working capital days
- Supplier compliance incidents

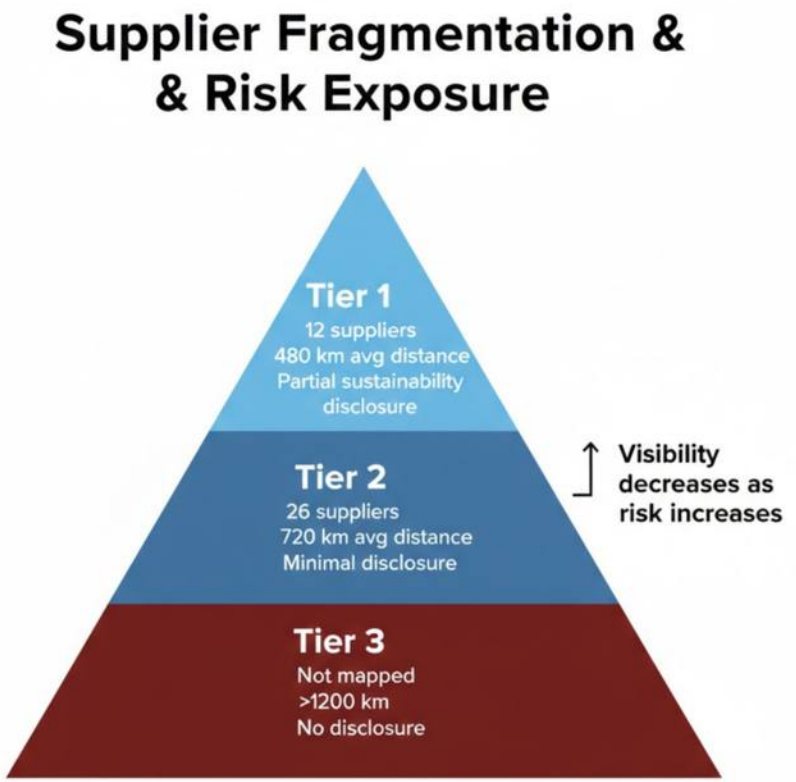
MCPL's sustainability challenge is not only about emissions reduction, but about building supplier transparency, operational resilience, and financial discipline to sustain long-term growth



ANNEXURE


Strategic Trade-Off Comparison: Sustainability Impact vs Financial Cost
Emissions Reduction (%)
Financial Cost Impact
Emissions Reduction (%)
Financial Impact (Mixed Units)
0
5
10
15
20
25
0
10
20
30
40
50
60
70
18%
+6% cost
24%
₹68 Cr cap-ex
14%
+8% cost
Green Procurement
Logistics Reconfiguration
Circular Packaging


MCPL Emissions Profile: Where the Real Exposure Lies
250000
200000
150000
100000
50000
0
Total Emissions (tCO_2e)
Total: 218,000 tCO_2e
Largest and least controlled emission source
Scope 3
111,180 tCO_2e
(51%)
Scope 2
67,580 tCO_2e
(31%)
Scope 1
39,240 tCO_2e
(18%)
MCPL Emissions Profile


Supplier Fragmentation & & Risk Exposure
Tier 1
12 suppliers
480 km avg distance
Partial sustainability disclosure
Tier 2
26 suppliers
720 km avg distance
Minimal disclosure
Tier 3
Not mapped
>1200 km
No disclosure
Visibility decreases as risk increases

SOURCES & REPORTS (ANNEXURE)

- SUPPLY CHAIN DECARBONIZATION: THE GUIDE TO REDUCING SCOPE 3 EMISSIONS – WORLD ECONOMIC FORUM
- NET-ZERO CHALLENGE: THE SUPPLY CHAIN OPPORTUNITY – MCKINSEY & COMPANY
- THE FUTURE OF SUSTAINABLE SUPPLY CHAINS – BOSTON CONSULTING GROUP
- SCOPE 3 EMISSIONS: MEASUREMENT & MANAGEMENT – KPMG
- DIGITAL SUPPLY CHAINS 2025 GLOBAL SURVEY – PWC
- SUSTAINABLE PROCUREMENT BAROMETER – ECOVADIS
- GREEN LOGISTICS: THE CARBON FOOTPRINT OF FREIGHT – INTERNATIONAL TRANSPORT FORUM
- PACKAGING SUSTAINABILITY: THE GLOBAL FMCG OUTLOOK – ELLEN MACARTHUR FOUNDATION
- TECH TRENDS 2024 – DELOITTE
- GLOBAL RISKS REPORT 2023 (SUPPLY CHAIN & CLIMATE RISK) – WORLD ECONOMIC FORUM
- INDIA ESG REPORTING LANDSCAPE & REGULATORY OUTLOOK – EY
- BUILDING RESILIENT SUPPLY CHAINS IN EMERGING MARKETS – HARVARD BUSINESS REVIEW